

Nutanix (NASDAQ: NTNX) – Infrastructure Software



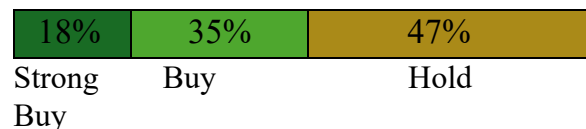
Company Overview:

Nutanix, Inc. (NASDAQ: NTNX) is a leader in infrastructure software, providing a hybrid multi-cloud platform that manages a company's entire data center across private data centers and the public cloud. The company pioneered hyperconverged infrastructure, which streamlines compute, storage and networking into a single software layer. Since then, it has expanded into a broader platform spanning virtualization (the splitting of one physical server into many "virtual" computers so hardware gets used efficiently), storage, database services, and newer AI products such as Nutanix Enterprise AI and GPT-in-a-box. Its software is hardware-agnostic, allowing customers to adopt it without replacing existing infrastructure. Nutanix competes most directly with VMware (Broadcom), and serves customers across finance, retail, manufacturing and healthcare in North America, Europe, Asia, the Middle East, Latin America, and Africa. Headquartered in San Jose, California, and founded in 2009, Nutanix has around 7,800 people and has closed a strategic alliance with NetApp to incorporate its storage systems with the Nutanix Cloud Platform. It is led by CEO Rajiv Ramaswami, who joined in 2020 from VMware, and CFO Rukmini Sivaraman. As it completed its shift to a subscription model, Nutanix delivered its first profitable fiscal year in 2025 and generates strong recurring revenue and free cash flow.

Recommendation:

BUY

Street Sentiment:



52-Week Range: \$34.01 - \$82.42

Current Price: \$66.61

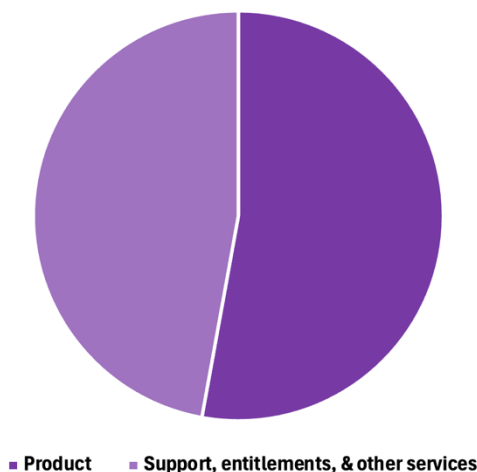
P/E (TTM): 70.11x

EPS (TTM): \$0.95

Beta: 0.60

Price (as of 8/16/26): \$66.61

Revenue Breakdown



Industry Overview:

Nutanix performs in the hyperconverged infrastructure (HCI) and hybrid multi-cloud market, which are fast-growing parts of enterprise technology. This is due to a shift away from normal data centers towards software-oriented infrastructure. The HCI market was valued at around \$11.7 billion in 2023 and is projected to reach approximately \$49.75 billion by 2030. With that growth, software is increasingly out-sharing hardware and favors a software-only company like Nutanix. The biggest event reshaping this industry is Broadcom's VMware, where when Broadcom repriced, pushing many enterprises to look for alternatives. This was the biggest infrastructure migration in years, and the rise of AI adds to this. Infrastructure that can run models securely on a company's own systems and a hybrid cloud that can facilitate private and public clouds has grown largely in demand.

Competition plays amongst VMware, Microsoft's Azure Stack HCI and Dell's VxRail systems. It also faces IBM Red Hat's OpenShift, which is a software that manages enterprise applications, being another popular alternative amongst Nutanix and VMware. This comes down to price, simplicity and how easy it is for a customer to switch without replacing hardware that they already own, which is where Nutanix's agnostic model wins.

North America is its largest market with around 40% revenue, with demand growing across Europe, Asia and the public sector. Nutanix looks to capitalize on the growing software market, a large migration event and enterprises actively looking for VMware alternatives

Competitors (picture)

CAGR (picture)

Market share by region

Investment Thesis

I rate Nutanix a Buy. Nutanix has turned into a strong business in infrastructure software: a sticky platform that is hard to replace, newly durable profitability, and a multi-year demand of customers leaving VMware.

A defensible position with high switching costs: Nutanix sells the software that runs a company's entire data center, and it runs on hardware from whatever the customer already has. As a company moves its workloads onto Nutanix's platform, switching and pulling out is expensive, which is why infrastructure software at this layer is one of the stickier places in technology. That stickiness gives the company pricing power and a steady foundation that it can grow on.

The subscription model has permanently changed the economics: Nutanix has come a long way from the past couple years; a few years ago, Nutanix was burning through cash, losing more than \$1 billion in 2021's fiscal year. The shift to recurring revenue and subscriptions flipped this story quickly, where operating income turned positive in 2024, and 2025 was the first profitable year in company history, with \$188.4 million in net income on \$2.54 billion in revenue. It now generates over \$600 million in annual free cash flow at 87% gross margins and is due to the structural change.

Broadcom has given Nutanix a multi-year tailwind: When Broadcom bought VMware and raised prices aggressively, it pushed many enterprises to look at other companies, and Nutanix is a place many have fallen into. However, the opportunity isn't just through companies leaving VMware and landing at Nutanix all at once, many customers are locked into multi-year contracts, and they can only leave when renewals are brought up and see the increasing Broadcom price. Since these renewals are spread out for many companies over the next few years, Nutanix can see a steady demand of switchers for this period, and the record number of new customers is already a sign.

Three Catalysts

Retention turns back up (quantitative, near-term): NRR has been stuck at 106%, but the inputs that drive expansion are already moving, mainly record new logo adds and longer contract durations. Net revenue retention (NRR) is the metric to watch over the coming quarters, with each earnings report serving as a checkpoint; a move back toward 110% with bookings converting to revenue confirms expansion is under way.

More named VMware defections (qualitative, medium-term): Broadcom, a large Nutanix competitor, keeps raising VMware prices, and Nutanix is attracting customers that have been leaving. In July, the IRS did a full replace of VMware to Nutanix across its facilities through a five-year task order worth up to \$187M. Although this is not Nutanix revenue, it shows a full migration at a huge, security-sensitive agency, and is proof that large enterprises are committing to full migrations. Large wins like this prove that the migration story is harder to argue against and pulls more corporations onto the platform over time.

Delivering on the FY2029 plan (qualitative, long-term): At its April 2026 analyst day, management committed to mid-to-high-teens revenue growth, operating margins above 20%, and a durable Rule of 40. Each quarter they hit or raise this guidance proves the investment thesis stands. Throughout these numbers, the AI involvement through GPT-in-a-Box, Nutanix Enterprise AI, and the strategic partnership between NVIDIA and Nutanix hasn't shown up yet, proving that any advancements in these areas are upside to management's numbers.

Porter's 5 Forces

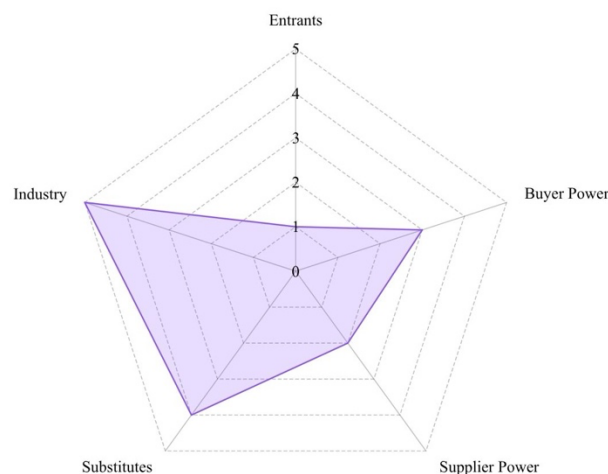
Threat of New Entrants (Low): It takes years of engineering, strong relationships with hardware providers, and a list of customers that are willing to trust a new vendor with systems that they need to succeed, which is why threat of new entrants is low, because these are all factors a new company cannot do. The real threat doesn't come from new entrants but from corporations already operating in the space, like the hyperscalers.

Buyer Bargaining Power (Moderate): Since Nutanix's customers are large enterprises and government agencies, they can watch the price carefully and alternatives are present in the market. The subscription model also provides them ability to switch providers when renewals come up, but switching costs hinder this force. Once a customer has moved their work onto Nutanix software, switching out is very expensive.

Supplier Bargaining Power (Low): Nutanix's software runs on standard servers from many different hardware makers, so technically it doesn't depend on one (hardware-agnostic). If one maker tried to raise prices, Nutanix could lean on another one which is why supplier power is low. However, AI is something to watch carefully, as Nutanix relies largely on NVIDIA, providing them few alternatives. Nevertheless, this applies to AI, not the core business, where no supplier has significant leverage on Nutanix.

Threat of Substitutes (High): This force has one of the largest effects on Nutanix, as a company can easily stay on VMware, move everything to the public cloud, or choose an alternative like Microsoft Azure Stack HCI, or Red Hat's OpenShift. Since all these options are credible and look similar from a buyer's perspective, Nutanix must keep their simplicity and price in check, which is why they aren't able to charge a premium.

Industry Rivalry (High): The market is filled with many companies providing similar services like VMware under Broadcom, Microsoft (Azure Stack HCI), Dell (VxRail) and IBM's Red Hat. They constantly fight on price and integrations which keeps everyone reinvesting. However, the timing is important to look at as VMware price hikes are opening migration towards Nutanix instead of away from it, giving a real opportunity for the company.



Risks and Mitigants:

Hardware supply constraints delaying revenue: Nutanix sells software, but it runs on servers, and starting in the middle of fiscal year 2026, shortages of CPUs and memory pushed server lead times longer and raised hardware prices, which delayed many customers' ability to buy hardware. This also slowed down the conversion of Nutanix's bookings into actual revenue, which is why full-year revenue guidance decreased to \$2.8-2.84 billion.

Mitigant: Software-led flexibility and demand that is delayed. Nutanix's management team has highlighted that these constraints hit near-term results but not long-term expectations, and full-year bookings growth guidance went up as a matter of fact. Because Nutanix's model is hardware-agnostic, it gives customers the ability to work around the problem by being able to order whatever hardware is available, run on servers already owned, and use public-cloud capacity to eliminate server lead times. The demand is real but just arriving late.

Soft net revenue retention: The long-term goals are extremely important for a software company like Nutanix, and this is facilitated through existing customers spending more. However, Nutanix's net retention has been flat at around 106%, which is below the 110%+ signal that indicates strong expansion. If it keeps decreasing toward 100%, growth might be too dependent on winning new customers.

Mitigant: A record base is being built right now. Nutanix has added more than 700 new customers in Q3 FY2026 while growing ARR 15% to \$2.43 billion. Those new logos, along with lengthening contract times, enlarges the base that expands along the line. The Nutanix platform keeps adding products to sell into that base such as Kubernetes, unified storage, database, and AI, which lets existing customers to keep spending over time.

Intense competition from Broadcom and hyperscalers: Nutanix competes with VMware under Broadcom, Microsoft's Azure Stack HCI and Dell's VxRail. A well-funded competitor defending its installed base, or aggressive cloud pricing could slow Nutanix's gains.

Mitigant: The disruption is the tailwind. Broadcom's price increases are the exact thing that is driving customers to shop for alternatives, and Nutanix is a key destination for this migration. Because VMware customers are locked into multi-year contracts, the migration will play out in waves rather than all at once, so when renewal times come around the migration continues as those renewals come up. In comparison to VMware, Nutanix's lower total cost and agnostic tools are built to capture this migration.

Financial Analysis

Nutanix has grown revenue while shifting to almost entirely subscription-based sales. Revenue rose from \$1.39 billion in fiscal year 2021 to \$2.54 billion fiscal year 2025. Annual recurring revenue (ARR, which is the yearly run- rate of its subscriptions) reached \$2.44 billion in Q3 of fiscal 2026, which is up 15%. Since the business runs on multi-year subscriptions instead of a one-time sale, revenue is now way more predictable than before.

A large thing to highlight is the company's profitability. In fiscal 2021, the company lost over \$1 billion, then operating income went positive in 2024, and in fiscal 2025, the company reported its first profitable year with \$188.4 million of net income. This change strengthens my investment case.

The margins also show why that matters. Gross margin sits at 88%, which is strong for a software business and non-GAAP operating margin hit 22.3% last quarter, which was well above management's 16-17% guide. It also provides \$600 million of free cash flow a year. However, the GAAP operating margin is lower than the non-GAAP number largely due to stock-based compensation.

Looking at the software-specific metrics, Nutanix passes the Rule of 40 (a test where revenue growth + profit margin should exceed 40%), and it also added more than 700 new customers in the third quarter of 2026. A key metric to look at is net revenue retention (NRR, how much more existing customers spend YoY), which was at 106%. Management indicated that this number wasn't due to demand issues but rather supply-chain delays. This number was below the 110%+ that signs expansion. The balance sheet is strong as well with about \$2.0 billion in cash and investments against less debt which leaves Nutanix in a net cash position.

All in all, the numbers back my thesis, as Nutanix has finally become profitable and into a company that stacks recurring revenue while generating real profit and cash.

Comparable Company Analysis & Valuation

Public Comps
USD (\$) in billions

<i>(As of 8/16/2026)</i>						
Company	Ticker	Market Cap (\$B)	EV (\$B)	EV/EBITDA	LTM EV/Revenue	P/E
Nutanix	NTNX	18.01	17.52	46.91x	6.37x	70.11x
Everpure	P	39.28	38.00	n/m	9.65x	n/m
NetApp	NTAP	40.64	39.79	20.33x	5.75x	32.61x
Dell Technologies	DELL	317.13	336.72	22.78x	2.51x	39.11x
MongoDB	MDB	37.03	34.63	n/m	13.31x	n/m
Datadog	DDOG	91.73	88.02	n/m	22.19x	n/m
Average				21.56x	10.68x	35.86x
Median				21.56x	9.65x	35.86x
High				22.78x	22.19x	39.11x
Low				20.33x	2.51x	32.61x

EV / Revenue Valuation Summary	
Revenue	2,537,927.0
Multiple	8.5
Total Enterprise Value	21,572,379.5
(-) Debt	1,343,818.0
(+) Cash	1,992,736.0
Total Equity Value	22,221,297.5
Shares Outstanding	294,083.0
Implied Share Price	75.6
Current Price (As of 8/16/26)	66.6
Upside (Downside)	13.4%

Appendix

Income statement

Balance Sheet

Comps

Sources
